

CHAPTER FOUR

THE ORGANIZING FUNCTION

4.1 An Overview of Organizing

The management process starts through planning i.e. in planning, objectives that are going to be achieved are identified, established and courses of actions are also determined. **The managerial functions of planning and organizing are intimately related.** Organizing begins with and governed by plans. **A primary** focus of organizing is determining both what individual employees will do in an organization and how their individual efforts should best be combined to advance the attainment of organizational objectives. The end result of the organizing process is an organization - a whole consisting of unified parts (a system) acting in harmony to execute tasks to achieve goals effectively and efficiently.

Organization: - can be defined as a collection of people, purpose and structure to achieve the common stated objectives.

- Organizing is a function of management, which is concerned with developing a frame work of how total work is divided into manageable components in order facilitate accomplishment of objective.
- Organizing is a part of managing that involves establishing an intentional structure of roles for people to fill in an organization.

5.2 Differences between Formal and Informal Organization

Formal Organization is a type of organization, which is established deliberately, or consciously to achieve pre determined objectives. Some of the features of formal organizations are

- * Formal organization is consciously brought into existence for the achievement of pre-determined objectives.

- * Clearly defined duties, responsibility and authority exist in the formal organization.
- * Formalized line of communication (scalar chain) exists in the formal organization.
- * In the formal organization duties are provided in writing to all the employees.

Informal Organization is an organization, which consists of small social groups and friendly association of people. Some of the features of informal organizations are

- * It is not deliberate, rather it is voluntary and spontaneous relation which is created based on status, interest, belief, background etc.
- * It is undocumented and officially unrecognized relationship between members.
- * Informal organization can affect the organization positively or negatively.
- * The management neither creates them nor destroys (abolish) informal organization.

Differences between formal and informal organization

	FORMAL ORGANIZATION	INFORMAL ORGANIZATION
<i>Formation</i>	<i>Consciously formed and tends to be stable</i>	<i>Spontaneous and dynamic based on interest, belief, background etc</i>
<i>Goals</i>	<i>Profit/service to the society</i>	<i>Members' satisfaction</i>

Communication	<i>Well defined flow of communication which is usually slow,</i>	<i>Unspecified channel of communication, which is very fast</i>
Documentation	<i>Duties, responsibilities of workers are given in writings</i>	<i>Commonly no such formal document will be used</i>
Stability	<i>Usually formal org is permanent and stable</i>	<i>There is high lack of stability</i>
Growth	<i>It may grow to bigger size</i>	<i>It tends to remain small</i>
Membership & Departure	<i>Formal Procedure to be a member and to depart from membership</i>	<i>Members can join and leave the association based on their feeling</i>
Motive	<i>To accomplish the objective</i>	<i>To accomplish social and friendly activities</i>

an informal organization that will be created based on different terms. The informal organization is the result of the need of people's need for social interaction and friendly associations in which the formal organization does not provide.

Finally, the management should always give proper attention about the informal organization that exists in the enterprise. The management should know the effect of the informal organization on the enterprise performance and how to influence the informal organization and how to direct their activities to the accomplishment of the common objectives.

Importance of Organizing.

a) Establishes line of authority. A clear line of authority or hierarchy is established which helps the employees in recognizing and accepting authority

and responsibility. This creates order in the organization; absence of authority will lead to confusion.

b) Communication channels are clearly specified. A good organizational structure clearly defines the channels of communication in an organization, which helps in the efficient process of communication.

c) Encourages efficiency and quality of work. A good organization ensures order and discipline in the workers, which in turn encourages efficiency thus increasing the quality of work performed by them.

d) Optimum use of resources and technology. To improve technology and to use the resources in an optimum way a good organizational structure is necessary.

e) Division of labor/specialization. The basic function of organization is division of labor. It is universally accepted that specialization always results in more efficiency and better results.

f) Stimulating creativity. If the division of work, distribution of authority & responsibility and the channels of communication are clearly established it motivates the workers in being more creative in their day to day tasks.

g) Job satisfaction. An employee will have more job satisfaction if he belongs to a good organization.

h) Continuity through time. A good organization structure does not depend on individuals. Even if people come and go in an organization, it will function normally thus establishing continuity through time.

i) Helps in growth and diversification. A good organizational structure takes care of growth and diversification because it would clearly be mentioned how to expand or diversify and when.

Process of organizing

- 1) **Identification of Activities.** In designing the structure, managers must first identify the various important activities, which must be performed to achieve the organizational goals. The major activities are then classified into a number of sub-activities. While classifying the activities it is important to see that all the necessary activities are performed, that there is no unnecessary over lapping of work and that the various activities are performed in a coordinated way.
- 2) **Grouping of Activities.** Closely related and similar activities are grouped together to form departments, divisions or sections. This will help coordination in an effective way. This grouping can be done on several bases and in these departments individuals are given responsibility to work according to their level in the management.
- 3) **Delegation of authority.** Since the assignment of the job to an individual creates responsibility, corresponding authority should also be given. Responsibility without authority achieves nothing, and authority without responsibility is dangerous.

Major Organizational Concepts

1. DIVISION OF LABOR & SPECIALIZATION

Specialization is attractive term because it promises greater efficiency and productivity. Organization performs a wide variety of tasks. A fundamental principle is that work can be performed more efficiently if employees are allowed to specialize. The essence of work specialization is that, rather than an entire job being done by one individual, it is broken down into a number of steps, each step being completed by a separate individual. In essence, individuals specialize in doing part of an activity rather than the entire activity. Division of labor is the degree to which organizational tasks are divided into separate jobs. Once the organizational tasks are divided into parts, the professionals can be assigned to such parts according to their profession and experience.

Division of labor allows for specialization of efforts and permits workers to perform a manageable number of tasks. It creates groups of specialists. It improves one's skill at performing a task through repetition. Division of labor allows for specialization of efforts and permits worker to perform a manageable number of tasks. It creates a group of specialists.

2. DEPARTMENTATION

Departmentation is a part of organizing process, which divides and groups different activities and employees of an enterprise into various departments. Departmentation is establishment of a distinct area or sub-system within the organization (system) over which a manager has authority for performance of specified activities and results. In large-scale organization it is very necessary to divide the overall operation into sub activities and working group. Therefore, Departmentation is done through specifying responsibilities and delegating the necessary authority to accomplish the objective. Departmentation makes an organization to expand and to have a wide control over resources.

BASES OF DEPARTMENTATION

a) Function. This is the most important form of departmentation. The division of activities according to the functions in an organization like finance, production, marketing, personnel, legal, etc is called as the functional Departmentation of an organization.

b) Product. In this type of Departmentation the activities are grouped under different products manufactured in an organization. For example, if an organization manufactures many products like automobiles, electronics, textiles, etc, it groups its activities under each of these products, this is called product Departmentation.

c) Territory. Territory or geographical Departmentation is used large organizations spread over different geographical areas. Industries like

banking , insurance, transport, etc, need to be departmentalized according to the territory.

d) Process. In organizations with complex manufacturing processes the organizations are departmentalized according to the process. For example textile mills are divided into Spinning, Weaving and finishing departments.

e) Customer. This Departmentation is based on the customer served by the organization. For example an organization can have departments looking after retail customers, wholesale customers, the government, etc, separately.

3. CENTRALIZATION AND DECENTRALIZATION

The concept of centralization and decentralization is more connected with decision making and authority.

Centralization means that the authority to take for most decision is concentrated at the top of the managerial hierarchy. Centralization is the systematic and consistent reservation of authority at central points within the organization. In centralization little delegation of authority is the rule; power and discretion are concentrated at the top level. The control and decision making resides at the top. Most organization starts out with centralization of authority; such an arrangement helps the manager to be in touch with all operations. Centralization is usually adopted by small scale organizations but as the organization becomes more complex in terms of increasing size, diversification of activity etc then there will be a need to move the decision making centers to the operating levels. Thus the larger the size of an organization is the more urgent is the need for decentralization. The advantages of centralization are power and prestige is provided to the executives, uniformity of policies, practices and decisions

are fostered. Full utilization of the main office and information specialists is promoted, due in large part to their proximity to the top management level, highly qualified specialists can be utilized, the danger of actions and drifting and getting off course is reduced etc.

Decentralization refers to the degree to which authority is delegated to the lower level. Decentralization is an extension of the concept delegation and cannot exist unless authority is delegated. The centers of decision-making are dispersed throughout the organization. Decentralization in recent years has come to be accepted as a golden calf of management philosophy. In decentralization a great deal of authority is delegated and more decisions are made at the lower level management. "Every thing that goes to increase the subordinate's role is decentralization and everything which goes to reduce is centralization".

Absolute cent (pure cent) is not practical except in very small firms.

Absolute power would mean that subordinates have no duties and authority.

Power and Authority

Authority is the right to give orders and the power to exact obedience. It is the right to command others to act or not to act in a manner deemed by the possessor of the authority.

Authority may be viewed as the right to do something. It is the formal right of decision and command. The manager's authority turns him into a decision-maker on issues affecting the business. Power is a broader concept than authority.

Power is a measure of a person's potential to get others to do what he or she wants them to do, as well as to avoid being forced by others to do what he or she does not want to do. Power can be derived from many sources.

Power can be a strong influence on the direction of an individual's behavior.

Some of the sources of power are

- 1) **Legitimate Power:** - which is derived from a person's official position in an organization or person's position in the organizational hierarchy
- 2) **Coercive power:** - which is derived from a person's ability to create fear in another individual and is based on the individual's expectation that punishment will be received for not agreeing or complying with the superior's commands or beliefs. The personal characteristics of an individual that make other people want to associate with the person.
- 3) **Reward power:** -is the opposite of coercive power in that it is derived from the ability to grant rewards for compliance with the superior's wishes .e. good grade,
- 4) **Expert power:** - is derived from the perception of belief of an individual that the superior possesses outstanding skill, knowledge and expertise in certain areas. Therefore the subordinate desires to fulfill the wishes and directions of the superior for example, subordinate will want to follow the directions of a manager with an impressive track record of project successes, high profitability and good communication skills.
- 5) **Referent power:** - is based on the identification of an individual with a leader who is held in high esteem. Often this leader is a person who is older and perceived as wise, honest and consistent.

Fig: Differences between Authority and Power

Authority	Power
• Right to do something	• Ability to do something
• Legitimate power given by an organization to members holding position	• Derived from many formal and informal sources
• Narrow them, authority is one of the major sources of power	• Broad concept which creates action when authority fails to achieve results.

To promote the effective functioning of the formal organization, a number of authority relationships are needed. The types of authority that commonly exist in a formal organization are

Line authority: - is a form of authority in which individuals in management positions have the formal power to direct and control immediate subordinates. It is represented by the chain of command, which links superiors and subordinates.

Staff authority: -is the authority/rights to advise recommend and counsel in the line specialists, areas of expertise. Or staff authority is the authority originally meant to be used as a support provider to the line authority. This concept exists today and is valid. Whereas a line officer has direct authority over other individuals and can command that ideas be used, a staff person must usually sell his or her ideas to the line personnel on the bases of their merit.

4. DELEGATION OF AUTHORITY

Delegation of authority: - delegation is the assignment of authority to others in order to carry out certain tasks. To delegate means to grant authority from the superior to subordinates to accomplish a particular assignment. It is a delivery by one individual to another of the right to act, to make decisions, and to request resources and to perform other tasks in order to fulfill job responsibilities.

Every manager must delegate some tasks or duties to subordinate, since management means getting work done through others. Organization becomes operational through delegation only. Effective managers will normally delegate as many operating tasks as possible to subordinates and concentrate their efforts on (exceptional) management tasks.

Delegation is a two-sided relationship. It is a demanding function: it requires sacrifices from both the assignor and the assignee. The superior must be willing to sacrifice a portion of his authority and the subordinate must be prepared to shoulder additional responsibilities. The major reasons why managers do not delegate authority are:

- * Tendency of desiring to do things personally;
- * fear of being exposed,
- * unconscious acceptance of power,
- * desire to dominate,
- * unwillingness to accept risks,
- * Attitude that subordinate is incapable of using authority properly etc.

Authority and Responsibility

It is common in organizations today to violate the parity principle, which suggests that the authority and responsibility of any manager should be equal. - Responsibility is the obligation to perform the task or an activity. Responsibility comes into existence when a person with authority or a manager, accepts the obligation to perform work and starts to use authority. The viewpoint taken here is that authority is the essential management entity in organizing. To achieve goals, the use of authority gives rise to the acceptance of obligations for these goal attainments and it is these obligations that give rise to responsibility.

Authority without responsibility has no ultimate purpose or justification for existing; likewise, responsibility without authority to carry out the assigned duties has a no meaning. **Accountability:** - means that the people with authority and responsibility are subjected to reporting and justifying task outcomes to those above them in the chain of command. It is a mechanism at which authority and responsibility brought into alignment. Subordinates must be aware that they are accountable for a task and must accept the responsibility and accountability for performing.

Span of Management

Span of management refers to the number of people who are supervised by a single manager effectively. It also shows the number of people who report directly to a single manager.

How many subordinates will have to report directly to each manager? This is the span of management question. Obviously, a manager cannot supervise unlimited number of employees. There is a limit to one's capacity to control the work of different subordinate. A manager's ability to supervise a large number of subordinates depends upon different factors like knowledge, time, energy etc.

A wide span of control (organization) results in a large number of workers reporting to one supervisor. Wide spans or a manager who has a relatively large number of immediate subordinates usually results in few organization levels and a "flattening out" of the structure. Usually wide span or management are challenging to a manager and requires special consideration before assigning a manager over large number of individuals.

A narrow span result in small number, therefore the principle of span of management is a statement of the limitation of the number of people that a manager can efficiently manage. Narrow spans, expedite more personalized manager-subordinate relationships, which results "tall organizational structure" i.e. one with relatively many levels.

It states that no single executive should have more people looking to him for guidance and leadership than he can reasonably be expected to serve. To overcome the biological limitations, every manager has to delegate work to as many subordinates as he can effectively manage. Thus, span of management is the reason for Departmentation and delegation of authority. It is not how many people report to a manager that matters, but it is how many subordinates a single manager can effectively control and handle, it is how many people report to a manager, how many people who have to work with each other to report to a manager, the number of relationships etc.

Factors affecting span of Management.

- a) Capacity of the superior.** If the officer is very efficient and is a good leader, organizer and coordinator then he can manage more number of subordinates. The span of control can be large.
- b) Capacity of the subordinates.** If the subordinates are very efficient, obedient and hard working then many subordinates can be controlled by a single superior. If the subordinates are bad then they would need many superiors to control them.
- c) Nature of work.** Same type of work results in larger span of control, because in routine work not much supervision is needed. But if the work is more dynamic and complicated, there will be a need for more supervision, thus leading to small span of control.
- d) Degree of decentralization.** If the decentralization is more then the span of control is also more.
- e) Degree of planning.** If an organization has a high degree of planning the span of control can also be high.
- f) Communication techniques.** Efficient communication techniques will lead to a larger span of control because a manager can control more number of people with these advanced communication techniques.
- g) Level of personal contact.** If the need for personal contact between the superior and subordinate is high then the span of management will be low.

Difference between group and committee

Group can be defined as any number of motivated individuals who interact and contribute towards achievement of common goal.

Group dynamic concern with the interaction and force among group members

Characteristics of Group Members

- i) They are motivated to join the group.
- ii) They are interacted with each other.
- iii) They contribute their time and energy to the group process.
- iv) They have agreements and disagreements through various forms of interactions.

Committee

A committee is a group of persons within an organization to whom, as a group, some matter is committed. The committee may be formed for a limited duration or a standing committee. Also the members of the team may or may not have other responsibility in the organization in addition to those as a member of the committee.